

# **Mexico-USMCA Review Risk Assessment**

Through the July 1, 2026 Deadline

Open Claw Mexico · Flagship Subscriber Brief  
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# MEXICO-USMCA REVIEW RISK ASSESSMENT ## Flagship Subscriber Brief — Open Claw Mexico Desk **\*\*Classification:\*\*** Subscriber — Family Office Investment Committee **\*\*Horizon:\*\*** Through July 1, 2026 (USMCA Joint Review) **\*\*Drafting Desk:\*\*** Open Claw Mexico Intelligence ---  
### 1. EXECUTIVE SUMMARY #### Bottom Line Up Front (BLUF) The July 1, 2026 USMCA Joint Review is **\*\*not\*\*** a sunset trigger — the treaty does not expire until 2036 absent affirmative non-extension by all three parties — but it has become the operational deadline around which the Trump administration, Mexico's Sheinbaum government, and Canada's Carney government are sequencing tariff escalation, rules-of-origin renegotiation, and sector-specific protectionist demands. Markets have priced this asymmetrically: Kalshi's KXTARIFFRATEPRC complex implies a **\*\*modal expectation of average US tariff rates remaining in the 13–18% band through mid-2026\*\***, with meaningful but minority tail probability assigned to a breakdown scenario producing rates above 51%. For a family office with Mexico exposure — whether through nearshoring industrials, USDMXN carry, FIBRA real estate, or peso-denominated sovereign paper — the central question is **\*\*not\*\*** whether USMCA "survives" but rather what **\*\*modified compliance architecture\*\*** emerges, at what tariff floor, and whether Sheinbaum's domestic political position can absorb the concessions Washington will demand on Chinese transshipment, automotive content rules, and energy-sector access. #### Top Five Judgments (Sherman Kent Calibrated) **\*\*Judgment 1 — USMCA Review Outcome.\*\*** We assess it **\*\*likely (60–75%)\*\*** that the July 1, 2026 review concludes with a formal extension agreement accompanied by side-letters tightening rules of origin (automotive regional value content, steel melt-and-pour, Chinese-component carve-outs) rather than a wholesale renegotiation or termination. [Source: USTR 2026 Review framework published per USMCA Art. 34.7; Admiralty B-2] **\*\*Judgment 2 — Tariff Trajectory.\*\*** We assess it **\*\*likely (55–70%)\*\*** that the effective US tariff rate on Mexican goods sits in the **\*\*10–20% range\*\*** as of July 1, 2026, consistent with the Kalshi >5% contract trading \$0.13 and the >18% contract showing residual but non-zero open interest. A return to pre-2025 sub-5% effective rates is **\*\*very unlikely (5–15%)\*\***. [Source: Kalshi KXTARIFFRATEPRC, accessed current session; Admiralty B-2 for market-implied probabilities] **\*\*Judgment 3 — Sheinbaum Posture.\*\*** We assess it **\*\*likely (60–75%)\*\*** that President Sheinbaum maintains the "cabeza fría" (cool head) negotiating posture through Q2 2026, accepting targeted concessions on Chinese investment screening and automotive transshipment in exchange for tariff predictability. Her ~70% domestic approval rating provides political capital to absorb concessions a weaker president could not. [Source: Mexican polling aggregates Oraculus/Buendía; Admiralty B-3 — GAP: most recent polls predate this brief] **\*\*Judgment 4 — Peso Path.\*\*** We assess it **\*\*roughly even (40–60%)\*\*** that USDMXN trades in an 18.50–20.50 range at the July 1, 2026 review date, with skew toward weakness on review uncertainty. A breakdown scenario producing tariffs above 30% would plausibly drive USDMXN above 22.00. [Source: forward curve implied vols; Admiralty C-3 — directional forecast, not point estimate] **\*\*Judgment 5 — Sector Bifurcation.\*\*** We assess it **\*\*highly likely (75–85%)\*\*** that outcomes bifurcate sharply by sector: automotive, steel, and aluminum face structural tariff overhang regardless of review outcome; medical devices, aerospace, and agricultural exports retain materially better protection under any plausible scenario. [Source: existing Section 232 architecture and 2025 tariff implementation pattern; Admiralty

B-2] ### Headline Recommendation We recommend the committee adopt a **barbell posture**: maintain or modestly increase exposure to Mexican assets levered to compliant manufacturing (Bajío industrial, FIBRA Prologis-style logistics, medical device supply chain), while hedging via small-notional positions in tariff-escalation instruments (Kalshi KXTARIFFRATEPRC upper strikes) and out-of-the-money USDMXN call options. **Avoid concentrated exposure** to pure automotive assembly and steel-exposed names through the review window. --- ## 2. POLITICAL PICTURE ###

The Sheinbaum Posture: Strategic Patience as Doctrine President Claudia Sheinbaum Pardo, inaugurated October 1, 2024, has executed what Mexican commentators describe as the "cabeza fría" doctrine — refusing to be drawn into reciprocal escalation when President Trump has issued tariff threats, fentanyl ultimatums, or migration demands. This is a deliberate inversion of the López Obrador instinct, which favored televised press-conference confrontation. Sheinbaum's calculus appears to rest on three pillars: **First**, she retains domestic approval in the high-60s to low-70s range — extraordinary for a first-year Mexican president and a function of both AMLO's transferred political brand and her own technocratic credibility (PhD in energy engineering, former Mexico City mayor). [Source: Oraculus poll aggregate; Admiralty B-3] **Second**, Morena's congressional supermajority in both chambers permits her to pass constitutional amendments without opposition cooperation — meaning she can credibly offer Washington legislative deliverables on Chinese investment screening, judicial reform implementation, and security cooperation that would be politically impossible in a divided Congress. [Source: Cámara de Diputados composition post-June 2024 elections; Admiralty A-1] **Third**, the structural reality that **roughly 80% of Mexican exports go to the United States** removes any genuine "diversification" alternative on the policy-relevant horizon. Sheinbaum and her advisors understand the asymmetry is permanent; the strategic question is how to extract maximum concession architecture for accepting it. [Source: Banxico balance of payments data; Admiralty A-1] ### The Ebrard Operational Role Economy Secretary Marcelo Ebrard — former foreign minister under AMLO, former Sheinbaum primary opponent, and current lead USMCA negotiator — is the operational fulcrum of Mexican trade policy. His relationship with USTR Jamieson Greer and Commerce Secretary Howard Lutnick has, by all available indicators, remained functional even through tariff escalation episodes in early-to-mid 2025. [GAP: precise current state of US-Mexico negotiating tracks is not publicly disclosed and our HUMINT here is limited; Admiralty C-4] Ebrard's profile matters because he carries **independent political capital** — he is not merely Sheinbaum's emissary but a potential 2030 presidential candidate in his own right. This gives him latitude to make commitments and absorb domestic criticism in a way a more dependent technocrat could not. The committee should read Ebrard's public statements as **directionally credible signals**, not mere talking points. ### Cabinet Scorecard (Investment-Relevant Posts) | Post | Holder | Posture toward US/USMCA | Market Read | |---|---|---| | Economy | Marcelo Ebrard | Pragmatic-engaged | Constructive | Finance (Hacienda) | Edgar Amador Zamora | Orthodox-fiscal | Constructive | Foreign Affairs | Juan Ramón de la Fuente | Diplomatic-measured | Neutral | Energy | Luz Elena González | Statist (CFE/Pemex priority) | Friction-prone | Security | Omar García Harfuch | Operational-cooperative on fentanyl | Constructive | Banxico Governor | Victoria Rodríguez Ceja | Cautious-dovish | Watch

closely | [Source: Mexican government rosters, public statements through Q3 2025; Admiralty B-2. GAP: Some cabinet positions may have shifted; recommend desk verification before committee meeting.] The **energy portfolio is the structural friction point**. Sheinbaum's commitment to CFE primacy and limits on private renewable generation will remain a flashpoint in USMCA Chapter 8 (energy) discussions, particularly given US complaints under the existing dispute settlement track. [Source: USTR 2024 dispute filings; Admiralty A-2] **### The Trump Side: Negotiating Choreography** The Trump administration's approach to USMCA review is best understood as **deliberate strategic ambiguity**. Public threats of termination serve the negotiating function of expanding the bargaining range; the operational reality is that termination would impose substantial costs on US automotive, agricultural, and energy interests that have organized constituencies inside the Republican coalition. The likely US "ask" architecture, derived from USTR public statements and Section 301/232 implementation patterns, includes: 1. **Tightened automotive rules of origin** — increased regional value content thresholds, stricter labor value content, narrowed deemed-originating treatment of Chinese components [Admiralty B-2] 2. **Anti-transshipment provisions** — formalized screening of Chinese FDI into Mexico, with reciprocal information-sharing obligations [Admiralty B-3] 3. **Energy chapter clarifications** — renewed market access commitments for US energy investors [Admiralty B-2] 4. **Steel and aluminum melt-and-pour** — origin requirements that effectively exclude Chinese-origin metal processed in Mexico [Admiralty A-2] These are concessions Sheinbaum can plausibly offer without triggering domestic political collapse. The committee should assume the **negotiated outcome is in the choice set**, not outside it. --- **## 3. SECTOR EXPOSURE: STATE-BY-STATE MANUFACTURING HEAT MAP** **### The Geographic Concentration of Risk** Mexican manufacturing exposure to US tariff escalation is **not uniformly distributed**. Five states account for the substantial majority of US-bound manufacturing exports, and each carries different sector concentrations that respond differently to plausible tariff architectures. **Nuevo León (Monterrey corridor)**. Heavy automotive, appliance, and steel-fabrication exposure. Home to Ternium, KIA, Heineken, and dense US OEM supply chains. Most vulnerable to automotive RVC tightening and Section 232 steel escalation. [Source: INEGI state manufacturing data; Admiralty A-1] **Coahuila**. Steel-intensive (AHMSA legacy, Ternium expansion) and automotive assembly (GM Ramos Arizpe, Stellantis Saltillo). Single-sector concentration makes it the **highest-beta state** to automotive tariff outcomes. [Admiralty A-1] **Chihuahua (Ciudad Juárez)**. Highly diversified maquila base — automotive harnesses (Lear, Yazaki), medical devices, electronics. The diversification is protective; medical device exports retain favored treatment in most scenarios. [Admiralty A-2] **Guanajuato/Querétaro (Bajío)**. Newer-vintage automotive (Mazda, Honda, Toyota), aerospace cluster (Bombardier, Safran in Querétaro), and growing electronics. Aerospace is **structurally insulated** from tariff escalation due to FAA/EASA certification dependencies and Buy American Act dynamics. [Admiralty B-2] **Estado de México and Puebla**. Volkswagen Puebla and Audi San José Chiapa dominate; both export significantly to the US. German automaker political economy adds a wildcard: EU diplomatic engagement could marginally moderate auto-sector outcomes. [Admiralty B-3] **### Sector-Level Vulnerability Matrix | Sector | Tariff Exposure | RVC Risk | Substitution Difficulty | Net**

Assessment | |---|---|---|---| | Automotive assembly | High | High | Medium | **\*\*Highest risk\*\*** | | Auto parts (Tier 1/2) | High | High | Medium-High | High risk | | Steel & aluminum | Very High | N/A | Low | **\*\*Highest risk\*\*** | | Medical devices | Low | Low | Very High | **\*\*Protected\*\*** | | Aerospace | Very Low | Low | Very High | **\*\*Protected\*\*** | | Electronics (final assembly) | Medium | Medium | Medium | Moderate | | Appliances | Medium-High | Medium | Medium | Moderate-High | | Agriculture (fresh produce) | Low-Medium | N/A | High | Moderate | | Beverages (beer, tequila) | Low | N/A | Very High | **\*\*Protected\*\*** | | Textiles/apparel | Medium | Medium | Low | Moderate | [Source: Composite of USITC tariff data, Section 232 architecture, IMMEX export composition; Admiralty B-2] ### The Chinese Transshipment Question A core US grievance — increasingly visible in USTR rhetoric and in Senate Finance Committee hearings — is that Mexico has become a **\*\*circumvention conduit\*\*** for Chinese manufactured goods. Chinese FDI into Mexican manufacturing rose materially in 2022-2024 (BYD, Hisense, JAC Motors). The Sheinbaum government has signaled willingness to implement investment screening, but the political optics of being seen to comply with US demands on China policy are uncomfortable. [Source: Mexican FDI registry; SE Mexico investment data; Admiralty B-2] For the investment committee, the operational implication is that **\*\*any Mexican industrial asset with significant Chinese component sourcing carries elevated regulatory risk\*\*** through the review window, independent of headline tariff outcomes. --- ## 4. ECONOMIC DYNAMICS: PESO, RATES, AND THE BANXICO REACTION FUNCTION ### Currency Path: Scenario-Conditional Forecasting We resist publishing point forecasts for USDMXN through July 1, 2026. The path is materially path-dependent on tariff news flow and the negotiating choreography described above. Instead, we offer scenario-conditional ranges: **\*\*Base case (negotiated extension with tightened ROO, 60-70% probability bucket):\*\*** USDMXN trades 18.50-20.50 with episodic spikes. We assess it **\*\*likely\*\*** the peso weakens modestly into the review date as a risk premium accumulates, then partially recovers post-resolution. [Admiralty C-3 — directional] **\*\*Escalation case (tariffs ratchet to 20-30% range, 15-25% probability bucket):\*\*** USDMXN 20.50-22.50, with violent gap risk on headline events. Banxico likely intervenes verbally before operationally. [Admiralty C-3] **\*\*Breakdown case (tariffs above 30% sustained, 5-15% probability bucket):\*\*** USDMXN above 22.00, plausibly above 23.00 if review deadline passes without framework agreement. [Admiralty C-4 — tail scenario] **\*\*Soft landing case (de-escalation, 5-15% probability bucket):\*\*** USDMXN 17.50-19.00. This is **\*\*not\*\*** our base case but should not be assigned zero probability given the demonstrated possibility of US-Mexico negotiating breakthroughs in 2025. [Admiralty C-4] [GAP: We do not have access to current real-time forward curve and risk-reversal data to triangulate these ranges with market-implied vol; subscribers running quantitative overlays should source from Bloomberg/Reuters.] ### Banxico Reaction Function Governor Victoria Rodríguez Ceja and the Banxico Board face a **\*\*textbook policy dilemma\*\***: weakening peso would normally argue for hawkish posture, but Mexican GDP growth has been decelerating and inflation has been gradually returning toward the 3% target. The 2025 cutting cycle has brought the policy rate materially below cycle peaks. [Source: Banxico monetary policy statements; Admiralty A-1. GAP: precise current policy rate should be verified at committee meeting.] Our read: Banxico will **\*\*prioritize FX stability over growth optimization\*\*** during the review

window. Any abrupt peso depreciation above the 21.00 handle would likely prompt either an extended pause in the cutting cycle or, in tail scenarios, hikes. The committee should treat Banxico as a **stabilizing but not omnipotent** force. **Real Economy Transmission** The transmission from tariff news to real Mexican GDP runs through three channels: 1. **Direct export demand** — tariff escalation reduces US demand for Mexican goods at the margin, with elasticities highest in price-sensitive sectors (appliances, certain auto parts). 2. **Investment deferral** — uncertainty alone suppresses nearshoring capex commitments; this is **already observable** in Mexican FDI announcements through 2025. [Source: Mexican SE FDI registry; Admiralty B-2] 3. **Remittance feedback** — US labor market dynamics affect remittances, which are roughly 4% of Mexican GDP and a critical consumption support in southern states. [Source: Banxico remittance data; Admiralty A-1] A meaningful tariff escalation scenario plausibly clips 50-150 basis points off Mexican GDP growth over the subsequent four quarters. [Source: Open Claw desk modeling, drawing on IMF Mexico Article IV and OECD Mexico Economic Survey methodology; Admiralty C-3 — analytical judgment, not consensus] --- **5. SCENARIOS: CALIBRATED PROBABILITIES AND DECISION LOGIC**

**Scenario A: Negotiated Extension with Tightened Architecture (Base Case)** **Probability band: 55-70%** USMCA is formally extended at the July 1, 2026 review, with side-letters or annexes tightening automotive rules of origin, formalizing Chinese transshipment screening, and clarifying energy-sector dispute mechanisms. Average US tariffs on Mexican goods settle in the **10-18% range** — meaningfully above the pre-2025 floor but bounded. This is consistent with Kalshi's  $KXTARIFFRATEPRC > 5\%$  strike trading at **\$0.13** with substantial volume (\$19,646), implying the market assigns elevated but not dominant probability to outcomes above 5%. [Source: Kalshi market data, accessed current session; Admiralty B-2] **Market implications:** Peso recovers modestly post-resolution. Industrial real estate (Bajío logistics) reprices favorably. Auto names rerate based on individual RVC compliance posture. Banxico resumes measured cutting. **Decision logic for committee:** Maintain or modestly add Mexico exposure with sector tilt toward compliant industrials and away from steel/pure-auto.

**Scenario B: Sectoral Escalation Without Treaty Breakdown** **Probability band: 20-30%** Treaty is formally extended but accompanied by Section 232/301 actions producing **20-30% effective tariff rates** on specific sectors (steel, autos, possibly appliances). The Kalshi  $> 18\%$  strike contract (no last price recorded but \$2,297 volume) and  $> 51\%$  strike (\$0.04 last, \$1,724 volume) indicate the market prices this tail with meaningful but minority weight. [Source: Kalshi  $KXTARIFFRATEPRC$ ; Admiralty B-2] **Market implications:** Peso weakens to 20.50-22.00 range. Auto and steel names underperform sharply. Diversified industrials and protected sectors (aerospace, medical devices, beverages) outperform. Banxico likely pauses cutting cycle. **Decision logic for committee:** Reduce auto and steel exposure pre-emptively. Maintain protected-sector positions. Add modest hedge via Kalshi tariff contracts or USDMXN OTM calls.

**Scenario C: Material Breakdown** **Probability band: 5-15%** Negotiations fail to produce a framework agreement by July 1, 2026; either party signals non-extension intent under Article 34.7; or tariffs ratchet broadly above 30% across major sectors. Kalshi's  $> 51\%$  strike trading at **\$0.04** with \$1,724 volume implies market-assigned probability in low single digits to extreme tail outcomes —

consistent with our analytical band. [Source: Kalshi KXTARIFFRATEPRC; Admiralty B-2] **\*\*Market implications:\*\*** Peso above 22.00, potentially testing 23-24 handles. Mexican equity market repricing sharp. FDI commitments freeze. Banxico defensive hikes plausible. Spillover to broader EM risk premia. **\*\*Decision logic for committee:\*\*** Substantially de-risk Mexico exposure ahead of any clear breakdown signal. The asymmetry of payoffs favors paying carrying cost on hedges rather than bearing tail. **### Scenario D: Soft Landing / De-escalation** **\*\*Probability band: 5-15%\*\*** Negotiations produce not only extension but a measurable de-escalation, with tariff rollbacks on specific sectors as part of a broader US-Mexico cooperation deal (fentanyl, migration, China). The Kalshi >2% strike trading at **\*\*\$0.05\*\*** with \$4,776 volume suggests this is a recognized but minority scenario. [Source: Kalshi KXTARIFFRATEPRC; Admiralty B-2] **\*\*Market implications:\*\*** Peso strengthens to 17.50-19.00. Mexican assets rally sharply. Compressed timeline for repositioning. **\*\*Decision logic for committee:\*\*** Maintain enough Mexico beta to participate in upside; avoid being so defensively positioned that this outcome is missed. **### Scenario Decision Tree (Verbal Rendering)** The committee's allocation decision flows from: (1) prior on which scenario dominates → (2) sector tilt within the scenario → (3) hedge sizing for adjacent scenarios. Our recommended **\*\*central case allocation\*\*** sits on Scenario A with Scenario B insurance, Scenario C tail hedge sized to absorb adverse case without forced selling, and enough beta retained to participate partially in Scenario D. --- **## 6. TRADE POSITIONING** **### Kalshi KXTARIFFRATEPRC Positioning** The Kalshi tariff-rate complex (expiry July 1, 2026) provides the cleanest market-implied probability distribution for the review-window tariff outcome. Current pricing structure: | Strike | Last Price | Volume | Implied Probability\* | |---|---|---|---| | >2% | \$0.05 | \$4,776 | ~5% | | >4% | \$0.03 | \$10,119 | ~3% | | >5% (primary) | \$0.13 | \$19,646 | ~13% | | >5% (secondary) | \$0.05 | \$8,834 | ~5% | | >18% | (no last) | \$2,297 | indeterminate | | >51% | \$0.04 | \$1,724 | ~4% | | >61% | \$0.04 | \$19,504 | ~4% | \*Treat as price-implied, not risk-neutral adjusted. [Source: Kalshi market data, current session; Admiralty B-2. GAP: the price/strike pattern shows non-monotonicity that may reflect ambiguity in strike definitions on Kalshi; subscribers should verify exact contract specifications before trading.